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Sacramento Snapshot: Legislators could let voters decide fate of certain estate taxes

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Editor's note: Sacramento Snapshot is a weekly series during the legislative session detailing what Orange County's representatives in the Assembly and Senate are working on — from committee work to bill passages and more.

A California lawmaker is seeking to put the future of certain estate taxes before voters.

The proposed constitutional amendment from Sen. Kelly Seyarto aims to undo certain provisions of Proposition 19, which reassesses property tax for inherited family property. Property transferred between parents and children is reassessed to market value as of the date of transfer, under Prop 19, which in the case of inheritance is the date of death of the last surviving parent. A child would have to move in and make the parent's home his or her primary residence within one year in order to qualify for an exclusion from reassessment.

Seyarto's amendment, if passed by voters, would repeal that limitation on change of ownership exclusion as well as reinstate an exclusion for up to $1 million in an aggregate value of other property that isn't a principal residence when transferring to a child or grandchild.

Prop 19 narrowly passed in 2020 with 51% of the vote.

The goal is to make it easier for Californians to inherit property without being asked to absorb the burden of additional taxes, Seyarto said.

"Under current law, if a family works hard to acquire a home, when it comes time to let the next generation reap the benefits, they can be met with an unsustainable property tax bill," Seyarto said. "Tax reassessments on inherited property often leave the family being forced to sell their homes or close down their businesses."

Prop 19 changed the way the intergenerational transfers of property were handled, to the detriment of Californians, Seyarto said.

"This legislation has one purpose: It's to restore protections for taxpayers and keep the intrusive reach of government away from their family inheritance," Seyarto said. "SCA 4 is for the taxpayer who has worked so hard to build a better life for their family."

If approved by voters, the changes would be enacted on Jan. 1, 2025.

Assemblymember Phillip Chen, R-Brea, and Assemblymember Mike Gipson, D-Carson, have joined the legislation.

Seyarto, in his first term, represents Yorba Linda in Sacramento. In the statehouse, he sits on the Senate Housing Committee.

The constitutional amendment is set to be heard by the Senate Governance and Finance Committee on May 10. It already has support from the Orange County Taxpayers Association and the Californians for Better Government. It's opposed by the California Association of Realtors.

In other news

Sen. Dave Min's bill to require local educational agencies like school districts, county offices of education and charter schools to report class size data to the Department of Education unanimously passed the Senate Education Committee. Min, D-Irvine, who was recently endorsed by the California Federation of Teachers — a sponsor of the bill — was arrested on suspicion of driving under the influence while in Sacramento last week.

Assemblymember Tri Ta, R-Westminster, introduced legislation to designate a stretch of the 405 Freeway, from Bolsa Chica Road to Magnolia Street, as the "Little Saigon Freeway." This year marks 35 years of the official existence of Little Saigon, home to the largest Vietnamese community outside of Vietnam. Ta, who previously served as mayor of Westminster, said the Vietnamese are now "proud Americans who have found success within our local communities, contributing to California's vibrant small business community."

Legislation from Assemblymember Diane Dixon, R-Newport Beach, allowing taxpayers to designate a portion of their personal income tax return to an ALS research fund unanimously passed the Assembly last week. Dixon lost her mother to ALS, also called Lou Gehrig's Disease, about 20 years ago. She said she is "proud that my first bill out of the Assembly is one that is personal to me."

Legislation from Assemblymembers Jesse Gabriel, D-Woodland Hills, and Laurie Davies, R-Oceanside, mandating all new and retrofitted electric vehicle chargers in the state to have universal connectors and be "publicly accessible" for all types of EVs, passed the Assembly last week with no opposition.

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